SAUDI E-COMMERCE & LAST-MILE DELIVERY

Executive analysis | 2022-2025 | Fictional Saudi market scenario

I examined a synthetic e-commerce business to understand whether increasing order volume was translating into sustainable commercial performance, and whether delivery reliability might be creating avoidable friction. This is an independent portfolio case study, not a real company engagement.

Executive takeaway

The synthetic business grew from **60,000 orders in 2022 to 145,000 in 2025**, while delivered-order sales increased from **SAR 163.7M to SAR 255.6M**. Delivered average order value (AOV) fell from **SAR 2,965.82 to SAR 1,976.05**. I would prioritize understanding the declining basket value before recommending further customer acquisition spending.

Annual business performance

Year	Orders	Delivered sales (SAR M)	Delivered AOV (SAR)
2022	60,000	163.7	2,966
2023	85,000	229.4	2,933
2024	110,000	250.4	2,474
2025	145,000	255.6	1,976

From 2024 to 2025, order volume increased by 31.8%, while delivered sales increased by only 2.1%. The gap is consistent with the observed decline in delivered AOV. This is descriptive evidence, not a causal explanation.

Geographic concentration

Riyadh accounts for approximately **SAR 262.1M** in delivered sales, followed by Jeddah at **SAR 179.6M** and Dammam at **SAR 89.9M**. I would investigate contribution margins, customer mix and delivery economics before treating city sales rankings as expansion priorities.

Delivery reliability

Across the 363,986 delivered shipments, approximately **29.94%** arrived after the promised delivery time. Partner-level late rates cluster tightly (about 29.7%-30.3%), so I would not claim one carrier is the main problem. Warehouse-city coverage, promised-day commitments, routing and shipment mix need to be controlled before comparing partner quality.

Delivery partner	Delivered orders	Late delivery rate
Naqel	73,113	30.30%
In-house	72,606	29.92%
SMSA	72,669	29.90%
Aramex	72,871	29.87%
SPL	72,727	29.72%

What I would recommend

1. Diagnose the fall in AOV. Break down the change by product category, price band, discount, channel, city and new-versus-repeat customer. Separate mix shifts from within-segment changes. Test whether bundles or cross-sell recommendations improve incremental contribution, not just basket size.

2. Investigate the drivers of late deliveries. Segment by warehouse city, promised delivery days and partner. Compare like-for-like shipments and trial route or promise-date adjustments in selected locations. Monitor on-time delivery, cost per shipment and customer ratings.

3. Prioritize profitable retention. Use order-frequency bands to identify repeat customers, then build acquisition cohorts based on first purchase. Avoid treating the dataset's preassigned customer segments as independently validated behavior.

4. Strengthen profit reporting. Allocate order-level discounts and shipping across order lines under a documented policy before reporting category-level net contribution. Gross item margin is not equivalent to operating profit.

Potential impact - scenario, not achieved results

I included an Excel model where management can change the late-delivery improvement assumption, cost per avoidable late shipment, AOV uplift, incremental margin and implementation cost. The model calculates a hypothetical annual opportunity. These inputs are not measured savings and must be validated in an operational experiment.

Data controls and limitations

The five-table dataset contains 1,964,000 synthetic records: 160,000 customers, 4,000 products, 400,000 orders, 1,000,000 order items and 400,000 deliveries. Referential integrity, unique delivery-to-order mapping and order total reconciliation were checked with zero exceptions in the supplied dataset.

The data is generated, with deliberate annual order growth. It cannot substantiate claims about Saudi e-commerce market size, real customer behavior or actual logistics providers. Delivery partner names appear only as synthetic category labels; the modeled metrics are not evaluations of real companies. Revenue is simplified to delivered order totals and does not follow a formal accounting revenue-recognition policy.

My conclusion: I would focus the next management review on the gap between order growth and sales growth, then test basket economics and delivery reliability with carefully designed pilots. The project demonstrates an analysis-to-decision workflow, not a realized commercial intervention.